



MARCH & McMILLIN, CPAS, PLLC
CPA services for Condominium & Homeowner Associations

W. Thomas March, CPA
Thomas McMillin, CPA

December 19, 2022

University Hills Homeowners' Association
c/o Pride Community Management
2450 S. Gilbert Road, Ste 205
Chandler, AZ 85286

Dear University Hills Homeowners' Association:

We are pleased to confirm our acceptance and understanding of the services we are to provide University Hills Homeowners' Association ("Association") for the years ended December 31, 2022 and 2023.

You have requested that we perform the following services:

1) We will prepare the financial statements of the Association, which comprise the balance sheet as of December 31, 2022 and 2023, and the related statements of revenues, expenses, and changes in members' equity balance, and cash flows for the years then ended, without the related notes to the financial statements, and perform a compilation engagement with respect to those financial statements. The required supplementary information about future major repairs and replacements of common property accompanying the compiled financial statements will be subject to our compilation engagement.

The objective of the preparation and compilation portion of our engagement is to—

- prepare financial statements in accordance with accounting principles generally accepted in the United States of America based on information provided by you and
- apply accounting and financial reporting expertise to assist you in the presentation of financial statements without undertaking to obtain or provide any assurance that there are no material modifications that should be made to the financial statements in order for them to be in accordance with accounting principles generally accepted in the United States of America.

We will conduct our compilation engagement in accordance with the Statements on Standards for Accounting and Review Services (SSARS) promulgated by the Accounting and Review Services Committee of the AICPA and comply with applicable professional standards, including the AICPA's Code of Professional Conduct, and its ethical principles of integrity, objectivity, professional competence, and due care, when preparing the financial statements and performing the compilation engagement.

We are not required to, and will not, verify the accuracy or completeness of the information you will provide to us for the engagement or otherwise gather evidence for the purpose of expressing an opinion or a conclusion.

Accordingly, we will not express an opinion, conclusion, nor provide any assurance on the financial statements.

Our engagement cannot be relied upon to identify or disclose any financial statement misstatements, including those caused by fraud or error, or to identify or disclose any wrongdoing within the entity or noncompliance with laws and regulations.

11201 N. Tatum Blvd, Ste 300 □ Phoenix, AZ 85028 □ 480.376.2220
www.MarchandMcMillin.com

Accredited and A+ rated by the Better Business Bureau

Member:
American Institute of CPAs
Arizona Association of Community Managers
Central AZ chapter - Community Associations Institute

University Hills Homeowners' Association
Page 2

We, in our sole professional judgment, reserve the right to refuse to perform any procedure or take any action that could be construed as assuming management responsibilities since performing those procedures or taking such action would impair our independence.

The financial statement preparation and compilation portion of the engagement to be performed is conducted on the basis that you acknowledge and understand that our role is to prepare financial statements in accordance with accounting principles generally accepted in the United States of America and assist you in the presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America. You have the following overall responsibilities that are fundamental to our undertaking the engagement in accordance with SSARS:

- a) The selection of accounting principles generally accepted in the United States of America as the financial reporting framework to be applied in the preparation of the financial statements.
- b) The preparation and fair presentation of financial statements in accordance with accounting principles generally accepted in the United States of America and the inclusion of all informative disclosures that are appropriate for accounting principles generally accepted in the United States of America.
- c) The design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.
- d) The prevention and detection of fraud.
- e) To ensure that the Association complies with the laws and regulations applicable to its activities.
- f) The accuracy and completeness of the records, documents, explanations, and other information, including significant judgments, you provide to us for the engagement.
- g) To provide us with—
 - access to all information of which you are aware is relevant to the preparation and fair presentation of the financial statements, such as records, documentation, and other matters.
 - additional information that we may request from you for the purpose of the compilation engagement.
 - unrestricted access to persons within the Association of whom we determine it necessary to make inquiries.

As part of our engagement, we will issue a compilation report that will state that we did not audit or review the financial statements and that, accordingly, we do not express an opinion, a conclusion, nor provide any assurance on them. In addition, the estimates of current or future costs of major repairs and replacements of common property that will be required in the future will be presented, as required by the FASB, for purposes of additional analysis. Our report will not express an opinion, a conclusion, nor provide any assurance on such required supplementary information.

There may be circumstances in which the report differs from the expected form and content. If, for any reason, we are unable to complete the compilation of your financial statements, we will not issue a report on such statements as a result of this engagement.

You agree to include our accountant's compilation report in any document containing financial statements that indicates that we have performed a compilation engagement on such financial statements and, prior to the inclusion of the report, to obtain our permission to do so.

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2) We will also:

- Prepare the federal and state income tax returns listed on the attached exhibit.
- Prepare any bookkeeping entries that we find necessary in connection with preparation of the income tax returns.

This engagement does not cover the preparation of any tax returns not listed on the attached exhibit.

The objective of the tax services portion of the engagement is to prepare the tax returns in accordance with Statements on Standards for Tax Services issued by the AICPA and comply with the AICPA's Code of Professional Conduct, including the ethical principles of integrity, objectivity, professional competence, and due care.

You are responsible for the safeguarding of assets, the proper recording of transactions in the books of accounts, the substantial accuracy of the financial records, and the full and accurate disclosure to us of all relevant facts affecting the return(s). You also have final responsibility for the tax return and, therefore, the appropriate Association officials should review the return carefully before an authorized officer signs and files it.

If, during our work, we discover information that affects prior-years tax returns, we will make you aware of the facts. However, we cannot be responsible for identifying all items that may affect prior-years returns. If you become aware of such information during the years, please contact us to discuss the best resolution of the issue. We will be happy to prepare appropriate amended returns as a separate engagement.

Our work in connection with the preparation of the tax return(s) does not include any procedures designed to discover defalcations or other irregularities, should any exist. The returns will be prepared solely from information provided to us without any verification by us.

In accordance with federal law, in no case will we disclose your tax return information to any location outside the United States, to another tax return preparer outside of our firm for purposes of a second opinion, or to any other third party for any purpose other than to prepare your return without first receiving your consent.

The Internal Revenue Code and regulations impose preparation and disclosure standards with noncompliance penalties on both the preparer of a tax return and on the taxpayer. To avoid exposure to these penalties, it may be necessary in some cases to make certain disclosures to you and/or in the tax return concerning positions taken on the return that do not meet these standards. Accordingly, we will advise you if we identify such a situation, and we will discuss those tax positions that may increase the risk of exposure to penalties and any recommended disclosures before completing the preparation of the return. If we conclude that we are obligated to disclose a position and you refuse to permit disclosure, we reserve the right to withdraw from the tax services portion of the engagement. Likewise, where we disagree about the obligation to disclose a position, you also have a right to choose another professional to prepare your return. In either event, you agree to compensate us for our services to the date of the withdrawal. Our engagement with you will terminate upon our withdrawal.

The IRS permits you to authorize us to discuss, on a limited basis, aspects of your return for one year after the return's due date. Your consent to such a discussion is evidenced by checking a box on the return. Unless you tell us otherwise, we will check that box authorizing the IRS to discuss your return with us.

Certain communications involving tax advice may be privileged and not subject to disclosure to the IRS. By disclosing the contents of those communications to anyone, or by turning over information about those

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CPA services for Condominium & Homeowner Associations

communications to the government, you, your employees, or agents may be waiving this privilege. To protect this right to privileged communication, please consult with us or your attorney prior to disclosing any information about our tax advice. Should you decide it is appropriate for us to disclose any potentially privileged communication, you agree to provide us with written, advance authority to make that disclosure.

Should we receive any request for the disclosure of privileged information from any third party, including a subpoena or IRS summons, we will notify you. In the event you direct us not to make the disclosure, you agree to hold us harmless from any expenses incurred in defending the privilege, including, by way of illustration only, our attorney's fees, court costs, outside adviser's costs, or penalties or fines imposed as a result of your asserting the privilege or your direction to us to assert the privilege.

The return(s) may be selected for review by the taxing authorities. In the event of an audit, you may be requested to produce documents, records, or other evidence to substantiate the items of income and deduction shown on a tax return. Any proposed adjustments by the examining agent are subject to certain rights of appeal. In the event of a tax examination, we will be available, upon request, to represent you. However, such additional services are not included in our fees for preparation of the tax return(s).

Other Relevant Information

You are responsible for all management decisions and responsibilities and for designating an individual with suitable skill, knowledge, and experience to oversee our financial statement preparation and tax services. You are responsible for evaluating the adequacy and results of the services performed and accepting responsibility for such services.

W. Thomas March is the engagement partner and is responsible for supervising the engagement and signing the compilation report or authorizing another individual to sign it.

As part of our engagement, we will also prepare the Form 1120-H federal and state income tax returns for the Association for the fiscal years ended December 31, 2022 and 2023.

Our fee for these services in connection with the fiscal years ended December 31, 2022 and 2023 will be \$450 each. Our invoice is payable upon receipt after completion of our work. The above fees are predicated on expected cooperation from your management company in the submission of any necessary schedules and information we need and the assumption that unexpected circumstances will not be encountered during our work. Fees may be added if a change in management company occurs, if additional tax schedules are required, if needed information cannot be transmitted electronically or to input a new or initial reserve study summary. Assuming good cooperation from your management company, we expect our work will be accomplished within 60 days of commencement of work.

Any extended interactions with Association board members or board committee members in addition to our engagement procedures may be conducted at a fee of \$250.00 per hour.

Our working papers are the property of March & McMillin, CPAs, PLLC and are confidential information.

You agree to hold us harmless and to release, indemnify, and defend us from any liability or costs, including attorney's fees, resulting from management's known misrepresentations to us.

Any controversy or claim arising out of or relating to this contract, or breach thereof, shall be settled by arbitration administered by the Better Business Bureau, and judgment upon the award rendered by the arbitrator may be entered in any court having jurisdiction. The arbitrator will also decide the parties to pay costs and any amounts of those costs.

University Hills Homeowners' Association
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We appreciate the opportunity to be of service to you and believe this letter accurately summarizes the significant terms of our engagement. If you have any questions, please let us know. If you acknowledge and agree with the terms of our engagement as described in this letter, please sign it and return it to us.

Very truly yours,

/s/ MARCH & MCMILLIN, CPAs, PLLC

March & McMillin, CPAs, PLLC

University Hills Homeowners' Association

By: Techi Jo Taylor

Date: 2/21/2023

March & McMillin, CPAs, PLLC
CPA services for Condominium & Homeowner Associations



MARCH & MCMILLIN, CPAs, PLLC
CPA services for Condominium & Homeowner Associations

W. Thomas March, CPA
Thomas McMillin, CPA

CONFIDENTIAL

March 4, 2023

University Hills Homeowners' Association
c/o Pride Community Management
2450 S. Gilbert Rd # 105
Chandler, AZ 85286

Dear Board of Directors:

We have prepared the enclosed Arizona Form 120A tax return from the information provided by you. We suggest that you examine this tax return carefully to fully acquaint yourself with all items contained in it, to ensure that the information appears correct.

After review, please sign the tax return and sign the copy of your federal Form 1120-H that is required to be attached to this Arizona Form 120A tax return and mail it to:

Arizona Department of Revenue
PO Box 29079
Phoenix, AZ 85038

Please note there is \$50.00 due to the State of Arizona. Please retain a copy for your records.

We appreciate the opportunity to serve you.

Sincerely,

MARCH & MCMILLIN, CPAs, PLLC





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CONFIDENTIAL

March 4, 2023

University Hills Homeowners' Association
c/o Pride Community Management
2450 S. Gilbert Rd # 105
Chandler, AZ 85286

Dear Board of Directors:

We have prepared the enclosed federal Form 1120-H tax return from the information provided by you. We suggest that you examine this tax return carefully to fully acquaint yourself with all items contained in it, to ensure that the information appears correct.

After review, please sign the tax return and mail it to:

Department of the Treasury
Internal Revenue Service
Ogden, UT 84201-0012

There are no taxes due. Please retain a copy for your records.

We appreciate the opportunity to serve you.

Sincerely,

MARCH & MCMILLIN, CPAs, PLLC



4096 Bold Meadows □ Oakland, MI 48306

www.MarchandMcMillin.com

Accredited by the Better Business Bureau and A+ rated

*Member:
American Institute of CPAs
Community Associations Institute*

U.S. Income Tax Return
for Homeowners Associations

OMB No. 1545-0123

2022

Department of the Treasury
Internal Revenue ServiceGo to www.irs.gov/Form1120H for Instructions and the latest information.

For calendar year 2022 or tax year beginning

, 2022, and ending

, 20

TYPE OR PRINT	Name	UNIVERSITY HILLS HOMEOWNERS' ASSOCIATION	Employer identification number	86-0552996
	Number, street, and room or suite no. If a P.O. box, see instructions.	2450 S. GILBERT RD # 105	Date association formed	11/12/1985
	City or town, state or province, country, and ZIP or foreign postal code	CHANDLER, AZ 85286		

Check if:	(1) ☐ Final return	(2) ☐ Name change	(3) ☐ Address change	(4) ☐ Amended return
A	Check type of homeowners association: ☐ Condominium management association ☒ Residential real estate association ☐ Timeshare association			
B	Total exempt function income. Must meet 60% gross income test. See instructions.			B 116,106
C	Total expenditures made for purposes described in 90% expenditure test. See instructions.			C 113,358
D	Association's total expenditures for the tax year. See instructions.			D 114,048
E	Tax-exempt interest received or accrued during the tax year			E

Gross Income (excluding exempt function income)

1	Dividends	1	260
2	Taxable interest	2	
3	Gross rents	3	
4	Gross royalties	4	
5	Capital gain net income (attach Schedule D (Form 1120))	5	
6	Net gain or (loss) from Form 4797, Part II, line 17 (attach Form 4797)	6	
7	Other income (excluding exempt function income) (attach statement)	7	
8	Gross income (excluding exempt function income). Add lines 1 through 7	8	260
Deductions (directly connected to the production of gross income, excluding exempt function income)			

9	Salaries and wages	9	
10	Repairs and maintenance	10	
11	Rents	11	
12	Taxes and licenses	12	
13	Interest	13	
14	Depreciation (attach Form 4562)	14	
15	Other deductions (attach statement)	15	690
16	Total deductions. Add lines 9 through 15	16	690
17	Taxable income before specific deduction of \$100. Subtract line 16 from line 8	17	-430
18	Specific deduction of \$100	18	\$100

Tax and Payments

19	Taxable income. Subtract line 18 from line 17	19	-530
20	Enter 30% (0.30) of line 19. (Timeshare associations, enter 32% (0.32) of line 19.)	20	0
21	Tax credits (see instructions)	21	
22	Total tax. Subtract line 21 from line 20. See instructions for recapture of certain credits	22	0
23a	2021 overpayment credited to 2022	23a	
b	2022 estimated tax payments	23b	
c	Total	23c	0
d	Tax deposited with Form 7004	23d	
e	Credit for tax paid on undistributed capital gains (attach Form 2439)	23e	
f	Credit for federal tax paid on fuels (attach Form 4136)	23f	
g	Add lines 23c through 23f	23g	0
24	Amount owed. Subtract line 23g from line 22. See instructions	24	0
25	Overpayment. Subtract line 22 from line 23g	25	0
26	Enter amount of line 25 you want: Credited to 2023 estimated tax	26	Refunded

Under penalties of perjury, I declare that I have examined this return, including accompanying schedules and statements, and to the best of my knowledge and belief, it is true, correct, and complete. Declaration of preparer (other than taxpayer) is based on all information of which preparer has any knowledge.

COPY

May the IRS discuss this return with the preparer shown below? See instructions. ☒ Yes ☐ No

Signature of officer	Date	Preparer's signature	Date	Check ☐ if self-employed	PTIN
Print/Type preparer's name	WILLIAM THOMAS MARCH III	W. Thomas March	3/4/2023		P02168501
Firm's name	MARCH & MCMILLIN, CPAS, PLLC			Firm's EIN	83-1205316
Firm's address	4096 BOLD MEADOWS, OAKLAND TOWNSHIP, MI 48306			Phone no.	281-678-1685

For Paperwork Reduction Act Notice, see separate instructions.

Cat. No. 11477H

Form 1120-H (2022)

NAME: UNIVERSITY HILLS HOMEOWNERS' ASSOCIATION

EIN: 86-0552996

FYE: December 31, 2022

Support for Form 1120-H, Line 7 - Other Income:

N/A

Total

Support for Form 1120-H, Line 15 - Other Deductions:

Allocation of Administrative Expenses Associated with Interest Income:

Management Fees

\$690

Expenses Associated Specifically with Line 7 - Other Income:

N/A

Total

\$690

For the ☒ calendar year 2022 or ☐ fiscal year beginning 12.0.22 and ending 12.0.22.

Business Telephone Number (with area code) (480) 682-3209		Name UNIVERSITY HILLS HOMEOWNERS' ASSOCIATION		Employer Identification Number (EIN) 86-0552996
Business Activity Code (from federal Form 1120) 531390		Address - number and street or PO Box 2450 S. GILBERT RD # 105		
City, Town or Post Office CHANDLER		State AZ	ZIP Code 85286	

IMPORTANT: Do not use Form 120A to file an Arizona combined or consolidated return. Use Form 120.**68** Check box if:

- A ☐ This is a first return B ☐ Name change C ☐ Address change
 A Is FEDERAL return filed on a consolidated basis? ☐ Yes ☒ No
 If "Yes", list EIN of common parent from consolidated return: _____
 B Is this the corporation's final ARIZONA return under this EIN? ☐ Yes ☒ No
 If "Yes", check one:
 1 ☐ Dissolved 2 ☐ Withdrawn 3 ☐ Merged/Reorganized
 List EIN of the successor corporation, if any: _____
 C *Marijuana Establishments only:*
 1 ☐ Adult Use only 2 ☐ Dual Lic. elected for-profit 3 ☐ Dual Lic. did not elect for-profit

Arizona Taxable Income Computation

1	Taxable income per included federal return.....	1	-530	00
2	Additions to taxable income from page 2, Schedule A, line A9.....	2	100	00
3	Total taxable income: Add lines 1 and 2. Enter the total.....	3	-430	00
4	Subtractions from taxable income from page 2, Schedule B, line B11.....	4	00	00
5	Adjusted income: Subtract line 4 from line 3. Enter the difference.....	5	-430	00
6	Arizona basis net operating loss carryover: Include computation schedule.....	6	00	00
7	Arizona taxable income: Subtract line 6 from line 5. Enter the difference.....	7	-430	00

Arizona Tax Liability Computation

8	Enter tax: Tax is 4.9 percent of line 7 or fifty dollars (\$50), whichever is greater.....	8	50	00
9	Tax from recapture of tax credits from Arizona Form 300, Part 2, line 24.....	9	00	00
10	Subtotal: Add lines 8 and 9. Enter the total.....	10	50	00
11	Nonrefundable tax credits from Arizona Form 300, Part 2, line 44.....	11	00	00
12	Credit type: Enter form number for each nonrefundable credit used: 121 13 122 13 123 13 124 13.....	13	50	00
13	Tax liability: Subtract line 11 from line 10. Enter the difference.....			

Tax Payments

14	Refundable tax credits: Check box(es) and enter amount: 141 ☐ 308 142 ☐ 349.....	14	00	00
15	Extension payment made with Form 120/165EXT or online: See instructions.....	15	00	00
16	Estimated tax payments: 16a ☐ 00 Claim of Right: 16b ☐ 00 Add 16a and 16b ...	16c	00	00
17	Total payments: Add lines 14, 15, and 16c. Enter the total.....	17	00	00

Computation of Total Due or Overpayment

18	Balance of tax due: If line 13 is larger than line 17, subtract line 17 from line 13. Enter the difference. Skip line 19.....	18	50	00
19	Overpayment of tax: If line 17 is larger than line 13, subtract line 13 from line 17. Enter the difference.....	19	00	00
20	Penalty and interest.....	20	00	00
21	Estimated tax underpayment penalty: If Form 220/PTE is included, check box..... 21A ☐	21	00	00
22	TOTAL DUE: See instructions.....	22	50	00
23	OVERPAYMENT: See instructions.....	23	00	00
24	Amount of line 23 to be applied to 2023 estimated tax.....	24	00	00
25	Amount to be refunded: Subtract line 24 from line 23. Enter the difference.....	25	00	00

COPY

SCHEDULE A Additions to Taxable Income

A1	Total federal depreciation.....	A1	00
A2	Taxes based on income paid to any state (INCLUDING ARIZONA), local governments or foreign governments	A2	00
A3	Interest on obligations of other states, foreign countries, or political subdivisions	A3	00
A4	Special deductions claimed on federal return.....	A4	100
A5	Federal net operating loss deduction claimed on federal return.....	A5	00
A6	Additions related to Arizona tax credits: See instructions	A6	00
A7	Capital loss from exchange of legal tender.....	A7	00
A8	Other additions to federal taxable income: See instructions.....	A8	00
A9	Total: Add lines A1 through A8. Enter the total here and on page 1, line 2.....	A9	100

SCHEDULE B Subtractions From Taxable Income

B1	Recalculated Arizona depreciation: See instructions.....	B1	00
B2	Basis adjustment for property sold or otherwise disposed of during the taxable year: See instructions	B2	00
B3	Dividends received from 50% or more controlled domestic corporations.....	B3	00
B4	Foreign dividend gross-up	B4	00
B5	Dividends received from foreign corporations	B5	00
B6	Interest on U.S. obligations.....	B6	00
B7	Agricultural crops charitable contribution.....	B7	00
B8	Expenses related to certain federal tax credits: See instructions	B8	00
B9	Capital gain from exchange of legal tender	B9	00
B10	Other subtractions from federal taxable income: See instructions.....	B10	00
B11	Total: Add lines B1 through B10. Enter the total here and on page 1, line 4	B11	00

SCHEDULE C Additional Information

- C1** Date business began in Arizona: 1, 1, 1, 2, 1, 9, 8, 5
- C2** Address at which tax records are located for audit purposes: Number/Street: 2450 S. GILBERT RD # 105
City: CHANDLER State: AZ ZIP Code: 85286
- C3** The taxpayer designates the individual listed below as the person to contact to schedule an audit of this return and authorizes the disclosure of confidential information to this individual. (See instructions.)
Name: WILLIAM THOMAS MARCH III
Title: Partner
Office Phone: (480) 376-2220
Email: march@marchandmcmillin.com Cell Phone: (281) 678-1685
- C4** List prior taxable years ending in MM/DD/YYYY format for which a federal examination has been finalized:

NOTE: A.R.S. § 43-327 requires the taxpayer, within ninety days after final determination, to report these changes under separate cover to the Arizona Department of Revenue or to file amended returns reporting these changes. (See instructions.)

- C5** Indicate tax accounting method: ☐ Cash ☒ Accrual ☐ Other (Specify method.)

Continued on page 3 →

The following declaration must be signed by one of the following officers: president, treasurer, or any other principal officer.

Declaration Under penalties of perjury, I, the undersigned officer authorized to sign this return, declare that I have examined this return, including the accompanying schedules and statements, and to the best of my knowledge and belief, it is a true, correct and complete return, made in good faith, for the taxable year stated pursuant to the income tax laws of the State of Arizona.

Please
Sign
Here

OFFICER'S SIGNATURE

DATE

TITLE

OFFICER'S PRINTED NAME

Paid

PAID PREPARER'S SIGNATURE

W. Thomas March

3/4/2023

P02168501

DATE

PAID PREPARER'S TIN

WILLIAM THOMAS MARCH III

Preparer's

PAID PREPARER'S PRINTED NAME

MARCH & MCMILLIN, CPAS, PLLC

83-1205316

Use

FIRM'S NAME (OR PAID PREPARER'S NAME, IF SELF-EMPLOYED)

FIRM'S EIN

Only

4096 BOLD MEADOWS

(281) 678-1685

FIRM'S STREET ADDRESS

FIRM'S TELEPHONE NUMBER

OAKLAND

48306

CITY

STATE

ZIP CODE

This form must be e-filed unless the corporation has a waiver or is exempt from e-filing. See instructions for details.

SCHEDULE A Additions to Taxable Income Continued**A6** *Additions related to Arizona tax credits:***A** Pollution Control Credit:

- 1 Excess Federal Depreciation or Amortization.....
- 2 Excess in Federal Adjusted Basis.....

B Credit for Taxes Paid for Coal Consumed in Generating Electrical Power.....**C** Credit for Employment of TANF Recipients.....**D** Credit for Donation of School Site.....**E** Credit for Corporate Contributions to School Tuition Organizations.....**F** Credit for Corporate Contributions to School Tuition Organizations for Displaced

Students or Students with Disabilities.....

G Total Additions Related to Arizona Tax Credits.....

Enter this amount on page 2, Schedule A, line A6.....

A8 *Other additions to federal taxable income:***A** Positive Partnership Income Adjustment.....**B** Federal Exploration Expenses.....**C** Federal Amortization or Depreciation for Facilities and Equipment Amortized

Under Arizona Law:

1 Pollution Control Devices.....

2 Child Care Facilities.....

D Expenses and Interest Relating to Income Not Taxed by Arizona.....**E** Amounts Repaid in Current Taxable Year.....**F** Excess Federal Capital Loss Carryover Under a Claim of Right Restoration.....**G** Domestic International Sales Corporations.....**H** Expenditures for the Americans With Disabilities Act.....**I** Total Other Additions to Federal Taxable Income.....

Enter this amount on page 2, Schedule A, line A8.....

SCHEDULE B Subtractions from Taxable Income Continued**B8** *Expenses related to certain federal tax credits:***A** Work Opportunity Credit.....**B** Empowerment Zone Employment Credit.....**C** Credit for Employer-Paid Social Security Taxes on Employee Cash Tips.....**D** Indian Employment Credit.....**E** Total Expenses Related to Certain Federal Tax Credits.....

Enter this amount on page 2, Schedule B, line B8.....

B10 *Other subtractions from federal taxable income:***A** Refunds of Taxes Based on Income.....**B** Negative Partnership Income Adjustment.....**C** Expense Recapture, Mine Explorations.....**D** Deferred Exploration Expenses.....**E** Exploration Expenses: Oil, Gas or Geothermal Resources.....**F** Arizona Amortization of Facilities and Equipment:

1 Pollution Control Devices.....

2 Cost of Child Care Facilities.....

G Interest on Federally Taxable Arizona Obligations Evidenced by Bonds.....**H** Expenses and Interest Relating to Tax-Exempt Income.....**I** Claim of Right Adjustment.....**J** Dividends from Domestic International Sales Corporation (DISC).....**K** Expenditures for the Americans with Disabilities Act.....**L** Contribution in Aid of Construction (see instructions).....**M** Marijuana Establishments *only* (see instructions)1 Federal Disallowed Expenses, *or*.....

2 Federal Taxable Income Attributable to NMMD Operations.....

N Total Other Subtractions from Federal Taxable Income.....

Enter this amount on page 2, Schedule B, line B10.....

Form 1120-H

U.S. Income Tax Return for Homeowners Associations

OMB No. 1545-0123

2022

Department of the Treasury
Internal Revenue Service

Go to www.irs.gov/Form1120H for instructions and the latest information.

For calendar year 2022 or tax year beginning , 2022, and ending , 20	
TYPE OR PRINT	Name UNIVERSITY HILLS HOMEOWNERS' ASSOCIATION
	Number, street, and room or suite no. If a P.O. box, see instructions. 2450 S. GILBERT RD # 105
	City or town, state or province, country, and ZIP or foreign postal code CHANDLER, AZ 85286
	Employer identification number 86-0552996
	Date association formed 11/12/1985

Check if:	(1) ☐ Final return	(2) ☐ Name change	(3) ☐ Address change	(4) ☐ Amended return
A	Check type of homeowners association: ☐ Condominium management association ☒ Residential real estate association ☐ Timeshare association			
B	Total exempt function income. Must meet 60% gross income test. See instructions B 116,106			
C	Total expenditures made for purposes described in 90% expenditure test. See instructions C 113,358			
D	Association's total expenditures for the tax year. See instructions D 114,048			
E	Tax-exempt interest received or accrued during the tax year E			

Gross Income (excluding exempt function income)

1	Dividends	1	
2	Taxable interest	2	260
3	Gross rents	3	
4	Gross royalties	4	
5	Capital gain net income (attach Schedule D (Form 1120))	5	
6	Net gain or (loss) from Form 4797, Part II, line 17 (attach Form 4797)	6	
7	Other income (excluding exempt function income) (attach statement)	7	
8	Gross income (excluding exempt function income). Add lines 1 through 7	8	260

Deductions (directly connected to the production of gross income, excluding exempt function income)

9	Salaries and wages	9	
10	Repairs and maintenance	10	
11	Rents	11	
12	Taxes and licenses	12	
13	Interest	13	
14	Depreciation (attach Form 4562)	14	
15	Other deductions (attach statement)	15	690
16	Total deductions. Add lines 9 through 15	16	690
17	Taxable income before specific deduction of \$100. Subtract line 16 from line 8	17	-430
18	Specific deduction of \$100	18	\$100

Tax and Payments

19	Taxable income. Subtract line 18 from line 17	19	-530
20	Enter 30% (0.30) of line 19. (Timeshare associations, enter 32% (0.32) of line 19.)	20	0
21	Tax credits (see instructions)	21	
22	Total tax. Subtract line 21 from line 20. See instructions for recapture of certain credits	22	0
23a	2021 overpayment credited to 2022	23a	
b	2022 estimated tax payments	23b	
c	Total	23c	0
d	Tax deposited with Form 7004	23d	
e	Credit for tax paid on undistributed capital gains (attach Form 2439)	23e	
f	Credit for federal tax paid on fuels (attach Form 4136)	23f	
g	Add lines 23c through 23f	23g	0
24	Amount owed. Subtract line 23g from line 22. See instructions	24	0
25	Overpayment. Subtract line 22 from line 23g	25	0
26	Enter amount of line 25 you want: Credited to 2023 estimated tax	26	0

Under penalties of perjury, I declare that I have examined this return, including accompanying schedules and statements, and to the best of my knowledge and belief, it is true, correct, and complete. Declaration of preparer (other than taxpayer) is based on all information of which preparer has any knowledge.

Sign Here	Signature of officer	Date	Preparer's signature	Date
			<i>W. Thomas March</i>	3/4/2023

Paid Preparer Use Only	Print/Type preparer's name WILLIAM THOMAS MARCH III	Check ☐ if self-employed	PTIN P02168501
	Firm's name MARCH & MCMILLIN, CPAS, PLLC	Firm's EIN 83-1205316	
	Firm's address 4096 BOLD MEADOWS, OAKLAND TOWNSHIP, MI 48306	Phone no. 281-678-1685	

For Paperwork Reduction Act Notice, see separate instructions.

Cat. No. 11477H

Form 1120-H (2022)

NAME: UNIVERSITY HILLS HOMEOWNERS' ASSOCIATION

EIN: 86-0552996

FYE: December 31, 2022

Support for Form 1120-H, Line 7 - Other Income:

N/A

Total

Support for Form 1120-H, Line 15 - Other Deductions:

Allocation of Administrative Expenses Associated with Interest Income:

Management Fees

\$690

Expenses Associated Specifically with Line 7 - Other Income:

N/A

Total

\$690

1120-H

Form

U.S. Income Tax Return for Homeowners Associations

OMB No. 1545-0123

2022

Department of the Treasury
Internal Revenue Service

Go to www.irs.gov/Form1120H for instructions and the latest information.

For calendar year 2022 or tax year beginning

, 2022, and ending

20

TYPE OR PRINT	Name		Employer identification number
	UNIVERSITY HILLS HOMEOWNERS' ASSOCIATION		86-0552996
	Number, street, and room or suite no. If a P.O. box, see instructions.		Date association formed
	2450 S. GILBERT RD # 105		11/12/1985
City or town, state or province, country, and ZIP or foreign postal code			
CHANDLER, AZ 85286			

Check if: (1) ☐ Final return (2) ☐ Name change (3) ☐ Address change (4) ☐ Amended return

A Check type of homeowners association: ☐ Condominium management association ☒ Residential real estate association ☐ Timeshare association

B Total exempt function income. Must meet 60% gross income test. See instructions **B** 116,106

C Total expenditures made for purposes described in 90% expenditure test. See instructions **C** 113,358

D Association's total expenditures for the tax year. See instructions **D** 114,048

E Tax-exempt interest received or accrued during the tax year **E**

Gross Income (excluding exempt function income)

1	Dividends	1	260
2	Taxable interest	2	
3	Gross rents	3	
4	Gross royalties	4	
5	Capital gain net income (attach Schedule D (Form 1120))	5	
6	Net gain or (loss) from Form 4797, Part II, line 17 (attach Form 4797)	6	
7	Other income (excluding exempt function income) (attach statement)	7	
8	Gross income (excluding exempt function income). Add lines 1 through 7	8	260

Deductions (directly connected to the production of gross income, excluding exempt function income)

9	Salaries and wages	9	
10	Repairs and maintenance	10	
11	Rents	11	
12	Taxes and licenses	12	
13	Interest	13	
14	Depreciation (attach Form 4562)	14	
15	Other deductions (attach statement)	15	690
16	Total deductions. Add lines 9 through 15	16	690
17	Taxable income before specific deduction of \$100. Subtract line 16 from line 8	17	-430
18	Specific deduction of \$100	18	\$100

Tax and Payments

19	Taxable income. Subtract line 18 from line 17	19	-530
20	Enter 30% (0.30) of line 19. (Timeshare associations, enter 32% (0.32) of line 19.)	20	0
21	Tax credits (see instructions)	21	
22	Total tax. Subtract line 21 from line 20. See instructions for recapture of certain credits	22	0
23a	2021 overpayment credited to 2022	23a	
b	2022 estimated tax payments	23b	
c	Total	23c	0
d	Tax deposited with Form 7004	23d	
e	Credit for tax paid on undistributed capital gains (attach Form 2439)	23e	
f	Credit for federal tax paid on fuels (attach Form 4136)	23f	
g	Add lines 23c through 23f	23g	0
24	Amount owed. Subtract line 23g from line 22. See instructions	24	0
25	Overpayment. Subtract line 22 from line 23g	25	0
26	Enter amount of line 25 you want: Credited to 2023 estimated tax	26	Refunded

Under penalties of perjury, I declare that I have examined this return, including accompanying schedules and statements, and to the best of my knowledge and belief, it is true, correct, and complete. Declaration of preparer (other than taxpayer) is based on all information of which preparer has any knowledge.

May the IRS discuss this return with the preparer shown below? See instructions. ☒ Yes ☐ No

Signature of officer	Date	Title
Print/Type preparer's name	Preparer's signature	Date
WILLIAM THOMAS MARCH III	<i>W. Thomas March</i>	3/4/2023
Firm's name	MARCH & MCMILLIN, CPAS, PLLC	PTIN
Firm's address	4096 BOLD MEADOWS, OAKLAND TOWNSHIP, MI 48306	P02168501
		Firm's EIN
		83-1205316
		Phone no.
		281-678-1685

For Paperwork Reduction Act Notice, see separate instructions.

Cat. No. 11477H

Form 1120-H (2022)

NAME: UNIVERSITY HILLS HOMEOWNERS' ASSOCIATION

EIN: 86-0552996

FYE: December 31, 2022

Support for Form 1120-H, Line 7 - Other Income:

N/A

Total

Support for Form 1120-H, Line 15 - Other Deductions:

Allocation of Administrative Expenses Associated with Interest Income:

Management Fees

\$690

Expenses Associated Specifically with Line 7 - Other Income:

N/A

Total

\$690

UNIVERSITY HILLS HOMEOWNERS' ASSOCIATION

REPORT FOR THE YEAR ENDED

DECEMBER 31, 2022

March & McMillin, CPAs, PLLC
CPA Services for Condominium & Homeowner Associations
www.marchandmcmillin.com

UNIVERSITY HILLS HOMEOWNERS' ASSOCIATION

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DECEMBER 31, 2022

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MARCH & McMILLIN, CPAs, PLLC

CPA services for Condominium & Homeowner Associations

W. Thomas March, CPA
Thomas McMillin, CPA

INDEPENDENT ACCOUNTANTS' COMPILATION REPORT

To the Board of Directors
University Hills Homeowners' Association

Management is responsible for the accompanying financial statements of University Hills Homeowners' Association (the "Association"), which comprise the balance sheet as of December 31, 2022, and the related statements of revenues and expenses and changes in members' equity and cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

We have performed a compilation engagement in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. We did not audit or review the financial statements nor were we required to perform any procedures to verify the accuracy or completeness of the information provided by management. We do not express an opinion, a conclusion, nor provide any assurance on these financial statements.

Management has elected to omit substantially all the disclosures ordinarily included in a financial statement prepared in accordance with accounting principles generally accepted in the United States of America. If the omitted disclosures were included in the financial statements, they might influence the user's conclusions about the Association's financial position, results of operations, and cash flows. Accordingly, this financial statement is not designed for those who are not informed about such matters.

Supplementary Information

The schedule of revenues and the schedule of expenses are presented only for supplementary analysis purposes. Such information has not been subjected to any procedures, and we express no opinion or any other form of assurance on them.

Required Supplementary Information

Management has omitted supplementary information about future major repairs and replacements of common property that accounting principles generally accepted in the United States of America require to be presented to supplement the basic financial statements. Such missing information, although not a part of the basic financial statements, is required by the Financial Accounting Standards Board, who considers it to be an essential part of financial reporting and for placing the basic financial statements in an appropriate operational, economic, or historical context.

March & McMillin, CPAs, PLLC

March 4, 2023

4096 Bold Meadows □ Oakland, MI 48306

Offices in Michigan, Arizona and Texas

www.MarchandMcMillin.com

Accredited and A+ rated by the Better Business Bureau

Member:

American Institute of CPAs

Arizona Association of Community Managers

AZ Chapter - Community Associations Institute

UNIVERSITY HILLS HOMEOWNERS' ASSOCIATION
BALANCE SHEET
DECEMBER 31, 2022

	Operating Fund	Reserve Fund	Total
ASSETS			
Cash and Cash Equivalents	\$ 16,253	\$ 79,766	\$ 96,019
Accounts Receivable	17,419		17,419
TOTAL ASSETS	\$ 33,672	\$ 79,766	\$ 113,438
LIABILITIES AND MEMBERS' EQUITY			
Prepaid Assessments	\$ 9,163		\$ 9,163
TOTAL LIABILITIES	\$ 9,163	\$ -	\$ 9,163
MEMBERS' EQUITY	\$ 24,509	\$ 79,766	\$ 104,275
TOTAL LIABILITIES AND MEMBERS' EQUITY	\$ 33,672	\$ 79,766	\$ 113,438

UNIVERSITY HILLS HOMEOWNERS' ASSOCIATION
STATEMENT OF REVENUES AND EXPENSES AND CHANGES IN MEMBERS' EQUITY
FOR THE YEAR ENDED DECEMBER 31, 2022

	Operating Fund	Reserve Fund	Total
REVENUES	\$ 102,794	\$ 13,572	\$ 116,366
EXPENSES			
Administration	\$ 38,575		\$ 38,575
Maintenance and Repairs	75,473		75,473
TOTAL EXPENSES	\$ 114,048	\$ -	\$ 114,048
EXCESS REVENUES OVER (UNDER) EXPENSES	\$ (11,254)	\$ 13,572	\$ 2,318
MEMBERS' EQUITY - Beginning	43,517	58,440	101,957
Interfund Balances (net)	(7,754)	7,754	
MEMBERS' EQUITY - Ending	\$ 24,509	\$ 79,766	\$ 104,275

UNIVERSITY HILLS HOMEOWNERS' ASSOCIATION
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED DECEMBER 31, 2022

Cash flows from operating activities:	Operating Fund	Reserve Fund	Total
Net excess of revenues (expenses)	\$ (11,254)	\$ 13,572	\$ 2,318
(Increase) decrease in:			
Accounts Receivable	9,554		9,554
Increase (decrease) in:			
Prepaid Assessments	1,251		1,251
Net cash provided (used) by operating activities	\$ (449)	\$ 13,572	\$ 13,123
Cash flows from investing activities:	-	-	-
Cash flows from financing activities:	-	-	-
Net increase (decrease) in cash	\$ (449)	\$ 13,572	\$ 13,123
Cash, beginning of year	24,456	58,440	82,896
Interfund Balances (net)	(7,754)	7,754	
Cash, end of year	<u>\$ 16,253</u>	<u>\$ 79,766</u>	<u>\$ 96,019</u>
Supplemental Cash Flow Information:			
Cash Paid for Interest	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Cash Paid for Income Taxes	<u>\$ 50</u>	<u>\$ -</u>	<u>\$ 50</u>

SUPPLEMENTARY INFORMATION

UNIVERSITY HILLS HOMEOWNERS' ASSOCIATION
SCHEDULE OF REVENUES
FOR THE YEAR ENDED DECEMBER 31, 2022

	Operating Fund	Reserve Fund	Total
Regular Assessments	\$ 95,478	\$ 13,312	\$ 108,790
Late Fees	1,854		1,854
Fines	4,557		4,557
Keys	425		425
Bank Fees Reimbursed	45		45
Collections Administration Fees	210		210
Legal Fees Reimbursement	225		225
Interest		260	260
TOTAL REVENUES	\$ 102,794	\$ 13,572	\$ 116,366

UNIVERSITY HILLS HOMEOWNERS' ASSOCIATION
SCHEDULE OF EXPENSES
FOR THE YEAR ENDED DECEMBER 31, 2022

	Operating Fund	Reserve Fund	Total
ADMINISTRATION			
Management Fees	\$ 13,800		\$ 13,800
CPA Services	550		550
Bank Charges	450		450
Bank Fees	225		225
Storage Fee	220		220
Invoice/Statements Legal Fees	5,457		5,457
	3,340		3,340
Attorney File Transfer Fee	70		70
Collections	1,135		1,135
Office Supplies	1,383		1,383
Printing and Reproduction	1,740		1,740
Postage	1,788		1,788
Violation Notices	1,952		1,952
Newsletter/Postcards	165		165
Statutory Agent Fee	75		75
Architectural Reviews	625		625
Package Insurance Policy	5,475		5,475
State Income Tax	50		50
Corporation Commission	75		75
TOTAL ADMINISTRATION	\$ 38,575	\$ -	\$ 38,575
MAINTENANCE AND REPAIRS			
Landscape Maintenance	\$ 15,710		\$ 15,710
Plant Care/Replacements	2,170		2,170
Tree Maintenance	496		496
Irrigation Repair	1,401		1,401
General Maintenance and Repair	2,804		2,804
Electricity	4,047		4,047
Water and Sewer	16,812		16,812
Trash Removal	575		575
Extermination/Pest Control	769		769
Gate Repair	997		997
Gate Programming	900		900
Pool Maintenance Contract	6,252		6,252
Pool Repairs	765		765
Pool Chemicals and Supplies	4,308		4,308
Pool/Spa Permits	270		270
Pool Furniture	807		807
Pool Expenses - Camera	16,390		16,390
TOTAL MAINTENANCE AND REPAIRS	\$ 75,473	\$ -	\$ 75,473
TOTAL EXPENSES	\$ 114,048	\$ -	\$ 114,048

